ACTIVE PURSUIT

RECENT STEPS BY THE CENTRE TO REDUCE IMPORT DEPENDENCE FOR APIs AND TURN INDIA INTO A MANUFACTURING HUB MARK A NEW CHAPTER IN THE ATMANIRBHAR JOURNEY

India has long been hailed as the pharmacy of the world due to the sheer range and volume of drugs it produces and exports. Despite that epithet, however, it still faces a critical shortcoming: the country imports a majority of its APIs (active pharmaceutical ingredients, the key active component of any medicine) from China. That import-dependence became particularly alarming when the Covid-19 pandemic struck and disrupted the world's supply chains. Naturally, India felt the squeeze too. Now, learning from that experience, the government has set itself the goal to make India not just self-reliant but also a major hub of API production. With a massive incentive scheme to boost both innovation and production, India's API-manufacturing agenda marks a new era in its medical advancement journey. According to Mordor Intelligence, a market research firm, the country's API market is expected to grow from $12.6 billion (Rs 1.05 lakh crore) in 2023 to $18.8 billion (Rs 1.5 lakh crore) by 2028, at a CAGR of 8.3 per cent.

WHY IT IS A GAME CHANGER

In some cases, companies purchase 'intermediate' ingredients (called key starting materials, or KSMs) to produce a final API, while many others produce these KSMs themselves. APIs are used in very small quantities, but they form the crux of any medicinal drug. According to PricewaterhouseCoopers International Limited (PwC), the percentage of API imports from China has spiked sharply, from around 1 per cent in 1991 to 70 per cent in 2019. In a step towards self-reliance, the Indian government in June 2020 launched a production-linked incentive (PLI) scheme worth Rs 10,000 crore to boost domestic production. These include incentives worth Rs 6,490 crore to firms that invest in domestic manufacturing of critical KSMs for APIs used in steroids, antibiotics and diabetes and tuberculosis drugs. The Centre is also nudging things along with a six-year financial incentive package, with 2019-20 as the base year. Manufacturers of 41 products used in some 53 APIs, for which India faces 90 per cent import-dependence, are in line to qualify. "Under this scheme, 32 new API plants have been set up and production has now started in 35 of the 53 identified APIs," says health minister Mansukh Mandaviya.

THE CHANGE-MAKERS

CIPLA

- Cipla set up India's first modern API factory in 1984. Since then, the company's portfolio has grown to cover over 75 different APIs
- Its plant in Kurkumbh, Pune, transitioned from batch manufacturing to continuous manufacturing
- Cipla will invest about $89.9 million (Rs 748 crore) for API facilities in Mumbai, Bengaluru and Kurkumbh; it also plans to develop APIs for diseases like cancer, hepatitis C and diabetes, among others